

Discussion Questions for Class

Opening Questions (Warm-up)

1. **First Impressions:** After reading the abstract and introduction, what did you expect this paper to contribute? Did it deliver?
2. **The Z-Score Question:** Is it ever appropriate to apply a bankruptcy prediction model to organizations that cannot go bankrupt? Why or why not?

Theoretical Questions (Core Issues)

3. **Defining Distress:** If bankruptcy isn't the outcome, what SHOULD "financial distress" mean for a public hospital?
4. **Transferred Distress:** The paper argues distress is "transferred" to suppliers and taxpayers. Is this a useful concept? Can we model it formally?
5. **Capital Structure Puzzle:** Why do Greek public hospitals have equity/liability ratios of 10.9:1? Which capital structure theories explain this?

Methodological Questions

6. **Research Design:** If you were redesigning this study, what would you change first: the measure, the design, the sample, or something else?
7. **Causality Challenge:** What are three alternative explanations for why female CEOs lead hospitals with higher Z-scores?

